

The S-Corp Tax Savings Guide

What Actually Works (And What Doesn't)

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About the Author

Barry Roach Jr., EA has worked in accounting and taxes for more than 20 years.

He teaches business owners how to understand taxes in a simple, calm, down-to-earth way through Business IQ Edge LLC.

Fun fact: Barry started helping with bookkeeping at age 12, sitting beside his mother as she worked with clients.

That early start explains why he talks about taxes the way some people talk about sports or weekend plans.

Casually. Clearly. Without making anyone feel overwhelmed.

About This Book

If you're running an S-Corp — or thinking about becoming one — you've probably heard a lot of big claims.

“Save thousands.”

“Pay yourself less.”

“This one trick the IRS doesn't want you to know.”

Most of that is noise.

This book is about what *actually* matters when it comes to S-Corp tax savings — and what quietly gets business owners into trouble when they guess.

No hype.

No loopholes.

No TikTok tax advice.

Just a clear explanation of how S-Corps really work, what tax savings are legitimate, and where the real risks are.

Here's what you'll learn:

- What an S-Corp actually is (and what it isn't)
- When an S-Corp makes sense — and when it doesn't
- Why reasonable compensation is the one number the IRS actually cares about
- How paying yourself too much *or* too little can cost you money
- How S-Corps reduce self-employment tax (and when they don't)
- How your salary affects the 20% QBI deduction
- How retirement plans really work inside an S-Corp
- How health insurance is handled (and the rules people miss)
- What accountable plans are — and why reimbursement beats deductions
- Why some popular “tax strategies” don't work anymore
- The mistakes that cause audits, penalties, or expensive cleanups later

This isn't a step-by-step guide or a DIY salary calculator.

It's written to help you understand the **big picture**, avoid expensive assumptions, and make smarter decisions before guessing a number that can follow you for years.

Everything is written like we're talking at the office water cooler.
Casual. Clear. Maybe a little smart-ass.

But about the one part of S-Corp taxes you really don't want to get wrong.

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CHAPTER 1: WHY THIS BOOK EXISTS

You bought this book because someone told you an S-Corp saves taxes.

They're right. But probably not for the reasons they gave you.

I've been in accounting since I was 12 years old. I've been an Enrolled Agent since 2016. I've heard a lot of the BS being slung online. Most of it doesn't work the way people think it does. Some of it backfires completely.

This book exists because there's a lot of bad S-Corp advice out there. TikTok CPAs promising you'll "only pay yourself \$40K and save \$30K in taxes." YouTube videos telling you to write off your family vacation as a board meeting and claiming entertainment is deductible if you "talk business."

None of that is real.

This book will tell you what actually works. It's high-level. It's not tax advice. It won't calculate your salary or tell you exactly what to deduct. What it will do is give you a realistic picture of S-Corp tax savings. You'll know what to expect and when to get professional help.

If you're looking for fantasy deductions, close this now. If you want the truth, keep reading.

CHAPTER 2: WHAT AN S-CORP REALLY IS

An S-Corp isn't a business structure. It's a tax election.

You still have an LLC or a corporation. You file Form 2553 and tell the IRS you want to be taxed as an S-Corporation. That's it.

The one real advantage? You split your income into two buckets: salary and distributions. Salary gets hit with payroll tax. Distributions don't.

That's the entire game. Everything else in this book is just details around that one concept.

But here's the thing nobody tells you up front: **the salary has to be reasonable**. Not low. Not a percentage. Not whatever some online calculator spits out. Reasonable.

If your salary isn't reasonable, nothing else matters. Every tax savings strategy in this book assumes your salary is defensible. Get that wrong and you're building on sand.

CHAPTER 3: WHEN AN S-CORP MAKES SENSE (AND WHEN IT DOESN'T)

S-Corps are for profitable business owners. Not revenue. Profit.

If you're making \$60K in revenue and spending \$55K to run your business, an S-Corp won't help you. The \$5K left over isn't enough to justify the cost and hassle.

S-Corps usually start making sense when you're consistently netting \$60K–\$80K or more. And by consistently, I mean year after year. Not one good quarter.

Here's when S-Corps usually backfire: startups burning cash, businesses with inconsistent income, side hustles that aren't really businesses yet, and anyone who thinks "I'll just pay myself \$12K and call it good."

The IRS doesn't care what you call it. They care what's reasonable. If you're a consultant billing \$200K and paying yourself \$30K, that's not an S-Corp strategy. That's an audit waiting to happen.

CHAPTER 4: REASONABLE COMPENSATION (THE REAL GAME)

This is the most important chapter in the book. If you skip everything else, read this.

Here's what most people get wrong about reasonable compensation: it's not "what you'd make if you worked for someone else doing this job." That's not how business owners work.

You don't have one job. You wear multiple hats. And each hat has a different market value.

You're the sales guy. You're the operations manager. You're the bookkeeper. You're the customer service rep. Sometimes you're the janitor. Each of those tasks has a different pay rate in the real world. Your reasonable salary is a blended result of all the hats you actually wear.

This is why two owners with the exact same revenue can have wildly different reasonable salaries. One owner does everything. The other outsources half the work. The first owner's salary should be higher because they're performing more roles.

Reasonable compensation isn't a percentage. It's not 30% of your profit. It's not "divide your income by three." It's not whatever lets you maximize your QBI deduction.

It's a professional assessment of what your specific combination of roles is worth in the market.

Overpay yourself and you waste the S-Corp election. You're paying payroll tax on money that could've been a distribution. Underpay yourself and you're begging for an audit and penalties.

Some people run payroll monthly. Some pay themselves once at year-end and true up. Both can work. The risk isn't the timing. The risk is guessing.

Most people guess. They pick a number that "feels safe" or use an online calculator or follow a formula they saw in a Facebook group. Then they build their entire tax strategy on top of that guess.

If the guess is wrong, everything downstream breaks. Your SE tax savings? Wrong. Your QBI deduction? Wrong. Your retirement contributions? Maybe wrong.

Many business owners save \$5,000 or more annually by getting their reasonable salary right—it's one of the quickest wins from a proper S-Corp setup. Common examples and calculators show typical shareholders landing in the \$6,000–\$17,000 range in payroll tax savings once their salary is dialed in and the rest flows as distributions.

This is why a **Reasonable Compensation Report** exists. It's not a luxury. It's documentation that your salary is based on actual data, methodology, and professional judgment. Not a coin flip.

CHAPTER 5: CORE S-CORP TAX SAVINGS

Reduced Self-Employment Tax (15.3%)

This is the big one. The reason most people form an S-Corp.

When you're a sole proprietor or LLC taxed as a sole prop, you pay 15.3% self-employment tax on all your net profit. Social Security, Medicare, the whole deal.

S-Corp owners only pay that 15.3% on their salary. Distributions skip it entirely.

That's the savings. If your salary is \$80K and your distributions are \$40K, you're saving roughly \$6,000 in self-employment tax.

But here's the catch: **your salary controls the savings**. Pay yourself too little and you're playing audit roulette. Pay yourself too much and the S-Corp becomes pointless.

Every S-Corp strategy assumes your salary is reasonable. This is where it all starts.

And here's the good news: if your salary isn't reasonable, this is the quickest thing you can fix. Like today quick. Adjust your payroll, document the change, and you're back on solid ground.

Section 199A (20% QBI Deduction)

Section 199A is the "20% pass-through deduction." If you qualify, you can deduct up to 20% of your Qualified Business Income.

Sounds great. And it is. But salary impacts it.

Your salary reduces your QBI. The more you pay yourself, the less QBI you have to deduct. So some people underpay salary to chase a bigger 199A deduction.

Bad idea.

Underpaying salary to maximize 199A is like robbing a bank to lower your tax bracket. Sure, your taxes go down. But you're creating a much bigger problem.

The IRS knows this game. If your salary is unreasonably low and you're claiming a massive QBI deduction, you're waving a red flag.

A reasonable salary comes first. Then you calculate 199A. Not the other way around.

Retirement Plans

S-Corps open the door to better retirement contributions. But again, **salary determines the limits**.

Here are the main options:

- **401(k):** Employee deferrals up to \$24,500 (2026), plus employer match and profit sharing up to 25% of your W-2 salary.
- **Roth 401(k):** Same limits, but contributions are after-tax and grow tax-free.
- **SEP-IRA:** Employer contributions only, up to 25% of your salary.
- **Profit sharing:** Your S-Corp can contribute up to 25% of your W-2 compensation.

Notice the pattern? Everything ties back to your salary.

If your salary is \$60K, your max employer contribution is around \$15K. If your salary is \$120K, that number doubles.

Underpay your salary and you cap your retirement contributions. It's not just about payroll tax. It's about long-term wealth.

Some of these plans let you save now (traditional). Some let you save later (Roth). The right plan depends on your goals. The key is knowing your options exist and that your salary determines how much you can contribute.

Roth Strategy for High Earners

If you're a high earner, Roth 401(k) contributions are worth understanding.

There's no income limit for Roth 401(k) contributions. You can make \$500K and still contribute. You can't do that with a Roth IRA.

Roth 401(k)s also reduce Required Minimum Distributions starting in 2024. Lower RMDs mean less taxable income in retirement. That can help you avoid Medicare IRMAA surcharges.

This isn't a short-term tax savings strategy that saves you today. This can compound and save you much more over the rest of your life when you get to retirement age. High earners often ignore Roths because they assume they're phased out. They're not. The 401(k) version is wide open.

And once again, your salary determines how much you can contribute.

Health Insurance

Owner health insurance premiums can be deductible. But let's clear up the confusion.

If you're an S-Corp owner paying for your own health insurance, the business can deduct the premiums. They're added to your W-2 as income, then you claim them as a deduction on your personal return.

This is fine when it's just you. But the moment you have employees, the rules change. You can't casually reimburse employees' health insurance like it's 2008. The Affordable Care Act ended that.

The simplest solution? Buy a company health insurance plan. Enroll yourself and your employees in the same plan. This is the cleanest way to handle health insurance once you have employees. You participate in the company plan instead of maintaining a separate personal plan.

If you don't want to go the company plan route, you need a formal reimbursement arrangement. A **QSEHRA** (Qualified Small Employer Health Reimbursement Arrangement) is one option. It's not complicated, but it's not optional either.

Another option is to provide employees with a bonus they can use for health insurance. You can't require they use it for that purpose, but it's a workaround if you want to help with coverage without setting up a QSEHRA or company plan.

If you're reimbursing employees for health insurance without a compliant plan, you're breaking the law. And no, calling it an "accountable plan" doesn't fix it.

Health insurance is one of those areas where the internet goes off the rails. If you have employees, slow down and get professional guidance.

Accountable Plans

This is one of the cleanest S-Corp strategies. And it actually works.

An accountable plan lets your S-Corp reimburse you for business expenses without the reimbursement being taxable income. No W-2 reporting. No payroll tax. No income tax.

The most common uses:

- **Mileage reimbursement:** Track your business miles, reimburse yourself at the IRS standard rate (72.5 cents per mile in 2026).
- **Home office reimbursement:** Your S-Corp can reimburse you for the business use of your home.

Why is reimbursement better than a deduction? Because reimbursements aren't income. Deductions just reduce your taxable income. You're better off never reporting the income in the first place.

But here's the rule: **documentation matters**. Mileage logs. Receipts. Contemporaneous records. If you're guessing at your mileage or making up reimbursements, you're asking for trouble.

Home Office

S-Corp owners cannot take a direct home office deduction. That's a sole proprietor thing.

Instead, you have two main approaches:

Accountable Plan Reimbursement

Your S-Corp reimburses you for the actual business use of your home.

First, calculate your business use percentage. Take the square footage of your office and divide it by the total square footage of your home.

Then total your eligible expenses: mortgage interest, rent, property taxes, utilities, insurance, repairs, and depreciation. Multiply that total by your business use percentage. That's your eligible reimbursement.

The reimbursement isn't taxable income to you. Your S-Corp deducts it as a business expense. You submit your paperwork and get a tax-free reimbursement. Clean and simple.

Rent Your Home Office

Your S-Corp can rent your home office space from you.

You can charge fair market rent or simply charge the reimbursable amount from the calculation above. Either way, you're creating rental income on your personal return.

On your personal return, you offset that rental income with home office expenses using one of two methods:

- **Actual cost method:** Same calculation as the accountable plan—business use percentage multiplied by mortgage interest, rent, property taxes, utilities, insurance, repairs, and depreciation.
- **Simplified method:** \$5 per square foot up to 300 square feet maximum (\$1,500 annually). No receipts, no calculations, just the flat rate.

This method has extra steps. You report rental income, then claim expenses to offset it. More paperwork than an accountable plan, but sometimes it's the right move.

The Bottom Line

The accountable plan is cleaner. The rental method creates taxable income that you offset with deductions. Same net result, more moving parts.

Either way, it's handled through the S-Corp. Not as a direct deduction on your personal return. That's the key difference from being a sole proprietor.

Documentation matters. Measurements, receipts, contemporaneous records. If you're guessing or making up numbers, you're asking for trouble.

Meal Deductions

Business meals are deductible, but the rules matter.

Most businesses can deduct 50% of qualifying meal expenses. DOT businesses (truckers, pilots) can deduct 80%. Some businesses, like daycare providers, can deduct 100%.

But here's what doesn't work: You can't run out to Chick-fil-A on a Tuesday, grab lunch by yourself, and deduct it. Meals eaten alone during a normal workday aren't deductible.

Meals ARE deductible when:

- You're meeting with a client, prospect, or employee to discuss business
- You've traveled away from home overnight for business (then your solo meals count)
- The meal has a clear business purpose

Meals are NOT deductible when:

- You're eating alone locally during a normal workday
- There's no business meeting or travel involved
- You can't document the business purpose

Keep receipts. Note who you met with and what you discussed. The IRS wants documentation.

CHAPTER 6: ADVANCED S-CORP STRATEGIES

The Augusta Rule

Here's one that gets a lot of attention: the Augusta Rule.

You can rent your home to your business for up to 14 days per year. The rental income is tax-free to you personally. Your business deducts the expense.

Sounds great. And when done properly, it works.

But you have to rent it at fair market value. You have to use the property for legitimate business purposes. You have to document everything—board minutes, comparable rental rates, actual use logs.

This is one of the most abused strategies out there. If you can't prove the rental was legitimate and at fair market value, you'll lose the deduction in an audit. And you might trigger other problems.

Worth doing? Sometimes. Worth doing without professional guidance? Never.

Cost Segregation

Cost segregation is a strategy that accelerates depreciation on real estate.

Instead of depreciating a building over 27.5 or 39 years, you break it down into components. Some of those components can be depreciated much faster. Some might even qualify for 100% bonus depreciation.

This creates a large deduction in year one instead of spreading it out over decades.

You can absolutely do cost segregation inside an S-Corp. The mechanics work the same.

The question is whether you should. For passive rental real estate, there's usually no added tax benefit to holding it inside an S-Corp. You're just adding compliance cost and complexity.

If you're actively managing properties as a business (not just owning a few rentals), that activity might trigger a salary requirement. Now you're paying payroll tax on income that would've been passive outside the S-Corp.

Cost segregation is a legitimate strategy. Just make sure the structure makes sense first.

Self-Rental Strategy

If you own rental real estate personally and your S-Corp rents it from you, you can use a strategy called grouping.

Normally, rental income is passive. If your rental loses money and your income is over \$150K, you can't deduct the loss unless you're a Real Estate Professional.

But there's a workaround.

You can group your rental activity with your S-Corp business activity for tax purposes. This lets you deduct the rental loss against your business income.

The benefit? You keep your real estate outside the S-Corp (avoiding payroll tax complications), but you unlock cost segregation deductions and bypass passive loss limitations.

Another advantage: your W-2 wages from the S-Corp can help you qualify for the QBI deduction on your rental income if you wouldn't otherwise qualify.

Best of both worlds. But you have to follow the grouping rules carefully and make the election on your tax return.

Real Estate Inside an S-Corp

If you're holding real estate inside an S-Corp, be aware of a few unintended tax consequences.

If you contribute appreciated property to the S-Corp, you might trigger built-in gains tax later. If you convert business property to personal use, that can create taxable income.

These aren't deal-breakers. They're just things you need to know before you move property in or out of the S-Corp.

If you're thinking about real estate inside your S-Corp, talk to a professional first.

Paying Your Kids

You can pay your kids through your S-Corp. It's legal. It can even be tax-efficient.

But the work has to be real. The pay has to be reasonable. And the duties have to be age-appropriate.

Your 3-year-old can't be your "marketing director" making \$20K a year. Your 14-year-old can help with data entry, filing, social media—real work that you'd otherwise pay someone else to do.

And yes, you still have to run payroll. Withholding, W-2s, the whole deal.

This isn't a strategy to shift income to your kids to avoid taxes. It's a strategy to pay them for work they're actually doing. If it saves taxes along the way, great. But the work comes first.

CHAPTER 7: THINGS THAT SOUND GOOD BUT DON'T WORK

Entertainment Is Not Deductible

Let me be clear: **entertainment is not deductible**. Period.

Sporting events. Concerts. Hunting trips. Golf outings. Theater tickets. None of it.

It doesn't matter if you talk business. It doesn't matter if your client is there. It doesn't matter if you call it "client development."

The Tax Cuts and Jobs Act eliminated the entertainment deduction beginning in 2018. It's gone.

You can still deduct meals (50%). You can still deduct travel. But if the primary purpose is entertainment, it's not deductible.

This is where the internet goes off the rails. You'll see people claiming you can write off your Super Bowl tickets if you "discuss business." That's not how this works.

If it sounds too good to be true, it probably is.

Family Boards & "Meetings"

Here's a popular one: hold a family board meeting in Hawaii and write off the trip.

Nope.

You can't convert a personal vacation into a business expense by calling it a meeting. The IRS has seen this a thousand times.

If your "board" consists of your spouse and your parents, and the meeting happens to be in Maui during spring break, you're not fooling anyone.

Same goes for holiday gatherings. You can't write off Thanksgiving because you talked about the business over dinner.

Personal expenses stay personal. Business expenses stay business. There's no magical phrase that converts one into the other.

How These Strategies Backfire

Here's the irony: the more you lean into these aggressive strategies, the worse your situation gets.

Let's say you set up a family board. You pay your spouse and your parents as "advisors." You hold quarterly meetings. You document everything.

Great. Now the IRS looks at your operation and sees formal governance, multiple people involved, and structured meetings.

You know what that does? It **disqualifies you from using the advantageous many hats strategy**. Now you can't blend roles to determine your salary. You have to use market rate for a CEO position instead.

That means higher salary. Higher payroll taxes. You're not saving money. You're creating a bigger problem.

And the salary you pay your board members? That's subject to payroll tax too.

These strategies don't save taxes. They create problems.

CHAPTER 8: NON-DISCRIMINATION RULES (QUIET BUT IMPORTANT)

Here's something most S-Corp owners don't think about until it's too late: **non-discrimination rules**.

Retirement and health insurance plans all have to be offered on a non-discriminatory basis once you have employees.

You can't give yourself a killer retirement plan and tell your employees they get nothing. You can't reimburse yourself for health insurance and ignore your staff.

The rules vary by plan type, but the principle is the same: you can't favor owners and highly compensated employees.

This doesn't mean you have to offer every employee every benefit. But it does mean you have to follow the rules. And the rules aren't always intuitive.

Employees change everything. If you're thinking about hiring, factor this in before you commit to a benefits strategy.

CHAPTER 9: A WORD OF CAUTION

If a tax strategy feels aggressive, it probably is.

I've been doing this for 20 years. I've seen many schemes, shortcuts, and "loopholes." Most of them don't work.

The ones that do work are boring. Reasonable salary. Accountable plans. Mileage reimbursement. Retirement contributions. Documented home office use.

That's it. That's the list.

If someone's promising you massive write-offs, zero payroll tax, or a "secret strategy the IRS doesn't want you to know," run.

Professional judgment matters. If you're on the edge of what's legal, you're probably over the edge.

CHAPTER 10: WHAT THIS BOOK DOES NOT DO

This book does not calculate your salary. It does not tell you whether an S-Corp is right for you. It does not provide personalized tax advice.

What it does is give you a realistic picture of how S-Corps actually work. High-level. No fantasy deductions.

If you're expecting step-by-step instructions or a magic formula, you're in the wrong place.

S-Corp taxation is fact-specific. Your salary depends on your industry, your role, your location, your experience, and a dozen other factors. There's no one-size-fits-all answer.

That's why professional guidance exists. Not because CPAs and EAs are gatekeeping. Because this stuff actually matters.

CHAPTER 11: WHY SALARY COMES FIRST

Every tax savings strategy in this book flows from one decision: your salary.

Self-employment tax is 15.3% of your net profit. Social Security and Medicare combined. As a sole proprietor, you pay it on everything. As an S-Corp owner, you only

pay it on your salary. Your salary determines how much of that 15.3% you pay every single year.

That's the game.

SE tax savings? Controlled by your salary.

199A deduction? Affected by your salary.

Retirement contributions? Affected by your salary.

Health insurance deduction? Affected by your salary.

If your salary is wrong, every number after that is wrong.

Most people guess. They pick a number that "feels safe" or sounds good or matches some percentage they saw online. Then they build their entire tax strategy on top of that guess.

The risk isn't the number. The risk is guessing.

A Reasonable Compensation Report documents that your salary is based on actual data, not a coin flip. It's not about finding the lowest salary the IRS might accept. It's about showing your work.

Because when the IRS asks why you paid yourself \$65K instead of \$95K, "I Googled it" isn't going to cut it.

This book gave you the high-level picture. You know what works, what doesn't, and where the landmines are.

Now it's time to build your strategy on solid ground.

If your salary is wrong, every tax savings number after that is built on sand.

Get that right first. Everything else follows.

Ready to dial in your reasonable compensation? A Reasonable Compensation Report gives you documentation based on actual market data, professional methodology, and defensible judgment. It's a clear, defensible path to compliance... and often tax savings.

[\[Learn more about getting your Reasonable Compensation Report here\]](#)

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